

Multiple Choice

1. **Answer:** E

Options: A) \$100 M; B) \$25 M; C) \$30 M; D) \$300 M; E) \$75 M

Note: Correct option: E - \$75 M

2. **Answer:** B

Options: A) A decrease in government regulation.; B) An increase in the price level.; C) A decrease in the amount of resources in the economy.; D) A decrease in technology.; E) An increase in business investment.

Note: Correct option: B - An increase in the price level.

3. **Answer:** A

Options: A) Ensure that there is no heteroscedasticity in the test regression residuals.; B) Improve the accuracy of the Dickey-Fuller test; C) Ensure that the test regression residuals are negatively skewed; D) Ensure that the test regression residuals are normally distributed; E) Ensure that all of the non-stationarity is taken into account.

Note: Correct option: A - Ensure that there is no heteroscedasticity in the test regression residuals.

4. **Answer:** A

Options: A) calls for the federal government to run a deficit.; B) calls for the federal government to run a surplus.; C) is increased taxes and government spending.; D) is decreased government spending and taxes.

Note: Correct option: A - calls for the federal government to run a deficit.

5. **Answer:** A

Options: A) Different models from within the ARMA family; B) An AR and an ARIMA model; C) Different models from within the ARIMA family; D) An ARIMA and an ARMA model; E) Different models from within the AR model

Note: Correct option: A - Different models from within the ARMA family

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Supply shifts to the left; demand shifts to the right.'

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'They signify shifts in currency exchange rates'.

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** The demand for land is a derived demand, it depends on the demand for final products which use land as a factor input. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** The owners decide to outsource their bread delivery.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key